

PROJECT TITLE

Optimization of Service System using Queuing Theory and Game Theory

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CERTIFICATE

This is to certify that the project entitled “**Optimization of Service System Using Queuing and Game Theory**”, bearing Project Code **B030813R**, submitted by Niketa Dangi, Roll No. **250004077007**, a student of Master of Science (Mathematics), has been completed under my supervision and guidance. This project is submitted in partial fulfillment of the requirements for the award of the degree of Master of Science in Mathematics to Chaudhary Charan Singh University, Meerut.

To the best of my knowledge, the work embodied in this project is original and has not been submitted earlier for the award of any degree or diploma in any institution.

It is further certified that Niketa Dangi has completed her attendance in the Department of Mathematics, Janta Vedic College, Baraut.

Place: Janta Vedic College, Baraut

Department of Mathematics

Dr. Manoj Kumar

SELF DECLARATION

I, **Niketa Dangi**, hereby declare that the project entitled “**Optimization of Service System Using Queuing and Game Theory**” submitted in partial fulfillment of the requirements for the Master of Science (Mathematics) degree at **Chaudhary Charan Singh University** is my original work. The project was completed under the supervision of **Dr. Manoj Kumar** at Janta Vedic College, Baraut, and no part of this project has been submitted elsewhere for any other degree.

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ABSTRACT

Service systems such as hospitals, banks, call centers, transportation networks, and telecommunication systems often face challenges including long waiting times, congestion, and inefficient utilization of resources. Optimizing these systems is essential for improving service quality and reducing operational costs.

This research project focuses on the optimization of service systems using **Queuing Theory** and **Game Theory**. Queuing Theory is used to analyze customer arrival patterns, waiting times, queue lengths, and server utilization through mathematical models such as M/M/1 and M/M/c queues. Game Theory is applied to study the strategic interactions between service providers and customers, enabling better decision-making in resource allocation, pricing, and service management.

The study is based on a review of existing literature and mathematical analysis of service system models. By integrating Queuing Theory with Game Theory, the research aims to develop efficient strategies that minimize waiting time, improve resource utilization, reduce operational costs, and enhance customer satisfaction.

The findings of this study are expected to demonstrate that the combined application of Queuing Theory and Game Theory provides an effective framework for solving complex service system problems in various sectors, including healthcare, banking, transportation, and telecommunications.

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CHAPTER 1: OPTIMIZATION OF SERVICE SYSTEMS USING QUEUING THEORY AND GAME THEORY: AN INTRODUCTORY OVERVIEW

1. Introduction & Background

In our increasingly interconnected and fast-paced global economy, service systems constitute the backbone of daily operations across multiple sectors. From traditional brick-and-mortar setups like hospitals, banks, and airports to modern digital frameworks like cloud computing networks, ride-sharing platforms, and telecommunication systems, the primary objective remains unchanged: **delivering efficient service to incoming customers while managing resource constraints**.

However, modern service systems face a fundamental operational dilemma known as the **trade-off between service quality and operational cost**.

- Maintaining excessive service capacity eliminates waiting times but incurs prohibitive idle costs for the provider.
- Conversely, minimizing capacity reduces overhead costs but triggers severe congestion, leading to long queues, customer dissatisfaction, and potential loss of business.

Historically, **Queueing Theory** has been the premier mathematical framework used to analyze and mitigate these congestion problems. It treats the service system as a purely stochastic, mechanical process where arrival rates and service rates dictate system behavior.

While highly effective, classical queueing theory possesses a significant limitation: **it frequently assumes that customers and service providers act passively or altruistically**. In reality, humans and independent organizations are rational, self-interested decision-makers. Customers evaluate whether a queue is worth joining based on the value of the service versus the cost of waiting. Providers adjust their capacities and pricing structures based on competitor actions and market demands. To bridge this gap, modern operations research integrates **Game Theory** with Queueing Theory.

By modeling service systems as strategic environments, this combined approach enables system designers to predict decentralized behaviors and optimize systems so that individual self-interest aligns seamlessly with overall system efficiency.

2. Foundations of Queueing Theory

Before exploring strategic interactions, it is crucial to establish the foundational mathematical language used to describe congestion: Queueing Theory. Formulated initially by A.K. Erlang in the early 20th century, queueing theory models systems where customers arrive randomly to receive a service and depart upon completion.

2.1 Components of a Queueing System

A standard queueing system is formally classified using **Kendall's Notation**, expressed generally as A/B/c/K/m/Z, though typically simplified to A/B/c. The core components include:

- **Arrival Process (A):** Dictates how customers enter the system over time. The most frequent model is the Poisson process, characterized by independent inter-arrival times following an Exponential distribution with rate λ .
- **Service Mechanism (B):** Represents the duration of time required to serve a customer, often modeled as an Exponential distribution with rate μ .
- **Number of Servers (c):** The parallel channels available to process arrivals.
- **Queue Discipline (Z):** The rule determining who gets served next (e.g., First-Come, First-Served (FCFS), Last-Come, First-Served (LCFS), or Processor Sharing).

2.2 Key Performance Measures

Using steady-state analysis, queueing models calculate vital metrics that define system performance. For a basic M/M/1 queue (Markovian arrivals, Markovian service times, and a single server), the utilization factor is denoted as:

$$\rho = \mu\lambda$$

For the system to remain stable and avoid an infinitely growing queue, ρ must strictly be less than 1 ($\rho < 1$). Under steady-state conditions, the average number of customers in the system (L) and the average time a customer spends in the system (W) are bound by **Little's Law**:

$$L = \lambda W$$

Calculating these metrics allows administrators to map out exactly how a system responds to varying traffic loads, forming the mathematical baseline required for optimization.

3. Foundations of Game Theory

While queueing theory maps the physical and mathematical reality of congestion, **Game Theory** provides the mathematical framework necessary to analyze situations where multiple decision-makers interact strategically.

3.1 Non-Cooperative Games & Nash Equilibrium

A strategic game consists of three core elements: a set of players, a set of strategies available to each player, and a payoff function mapping the chosen strategies to outcomes. In service networks, the primary solution concept applied is the **Nash Equilibrium**.

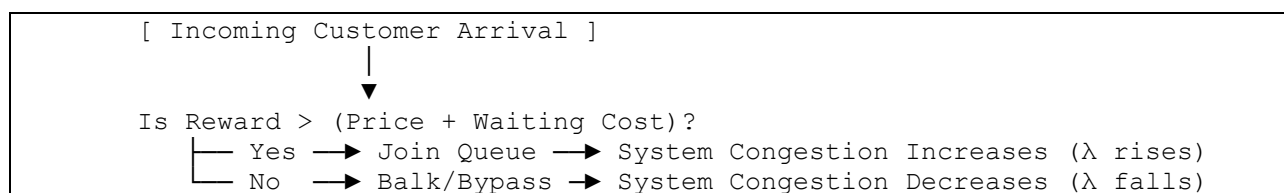
A profile of strategies is a Nash Equilibrium if no player can unilaterally deviate from their chosen strategy to increase their individual payoff. In decentralized service environments, customers and providers naturally gravitate toward a Nash Equilibrium, which, unfortunately, does not always equate to the most socially optimal outcome.

3.2 Mechanism Design in Service Systems

When decentralized behavior leads to inefficient queues (a concept known as the *Price of Anarchy*), system administrators utilize **Mechanism Design** (often called "reverse game theory"). The goal is to establish rules, pricing structures, or information policies that incentivize self-interested players to act in a manner that maximizes total social welfare or provider profit.

4. The Intersection: Game-Theoretic Queueing Analysis

The convergence of queueing theory and game theory—pioneered by Naor in 1969—unlocks the ability to evaluate "economics of queues." Instead of treating arrival rates (λ) as a fixed, exogenous variable, game-theoretic queueing treats arrival rates as an endogenous variable determined by customer choices.



4.1 Customer-Side Games: To Queue or Not to Queue

Consider an unobservable queue where customers arrive but cannot see how many people are ahead of them. Each customer receives a gross utility R upon completing the service. However, staying in the system incurs a waiting cost of C per unit of time. If the provider charges an entry fee p , the net expected utility U for a customer deciding to join an $M/M/1$ queue is:

$$U = R - p - C \cdot W = R - p - \mu - \lambda C$$

A rational customer will choose to join the system if and only if $U \geq 0$.

- **The Paradox of Self-Interest:** When an individual customer joins a queue, they only factor in their *own* expected waiting time. They ignore the negative externality they impose on all subsequent arrivals by marginally increasing their wait times.
- Consequently, the decentralized Nash Equilibrium equilibrium arrival rate (λ_e) is almost always higher than the socially optimal arrival rate (λ_o). This systemic over-congestion provides a clear mathematical justification for tolls, dynamic pricing, or priority access fees.

4.2 Provider-Side Games: Capacity & Pricing Competition

On the opposite side of the spectrum, service providers engage in strategic games against each other. In a multi-provider market (e.g., competing cloud storage providers or diagnostic labs), firms compete on two distinct fronts:

1. **Price Competition:** Lowering service fees to attract higher volumes of customers.
2. **Time/Capacity Competition:** Investing in faster servers (increasing μ) to reduce waiting times, thereby making their service more appealing than rivals.

Game-theoretic modeling allows researchers to determine whether a market equilibrium exists where both providers can remain profitable while guaranteeing acceptable queue lengths for the public.

5. Real-World Applications & Optimization Frameworks

The hybrid application of queueing and game theories plays a pivotal role in engineering efficiency across several contemporary landscapes:

Industry Sector	Queueing Dynamic Analyzed	Strategic/Game Element	Optimization Goal
Healthcare Systems	Emergency room arrival spikes and patient triage tracking.	Patients choosing between different hospitals based on public wait times.	Minimizing critical treatment delays and balancing hospital loads.
Transportation & Ride-Hailing	Passenger pickup delays and vehicle dispatch queues.	Surge pricing responses from drivers (supply) and riders (demand).	Maximizing successful matches and reducing urban congestion.
Cloud & Telecommunications	Data packet processing delays and server routing.	Resource bidding algorithms and priority scheduling choices.	Preventing network bottlenecks and ensuring fair bandwidth distribution.

Framework for System Optimization

To systematically optimize any service system using these combined methodologies, analysts generally implement a three-step protocol:

1. **Stochastic Modeling:** Map the physical layout of the system. Define the arrival profiles, service constraints, and queue disciplines to calculate standard waiting-time functions.
2. **Behavioral Mapping:** Identify all primary stakeholders (customers, service agents, system owners). Define their respective utility functions, costs, and decision parameters to solve for the system's Nash Equilibrium.
3. **Policy Intervention (Optimization):** Introduce strategic levers such as dynamic pricing, informational visibility (e.g., showing or hiding wait times), or scheduling rules to steer user behavior toward a globally optimized state.

6. Conclusion & Future Directions

The integration of Queueing Theory and Game Theory provides an incredibly robust, holistic framework for optimizing modern service systems. While classical queueing theory gives us the exact mathematical formulas to understand fluid bottlenecks and delays, game theory injects a layer of behavioral realism by accounting for human and organizational self-interest.

As service networks grow increasingly complex, decentralized, and digitized, relying purely on traditional, static capacity expansions is no longer viable or cost-effective.

Future research in this field is rapidly pivoting toward handling highly dynamic, automated environments. With the rise of artificial intelligence and machine learning, automated agents now make instantaneous queueing decisions on behalf of humans—such as automated high-frequency trading scripts or algorithmic routing in autonomous vehicle networks.

Analyzing these hyper-fast, data-driven systems requires advanced extensions of these theories, including stochastic games and dynamic mechanism design. Ultimately, mastering the interplay between system mechanics and strategic human behavior remains the definitive key to engineering the seamless, next-generation service infrastructures of tomorrow.

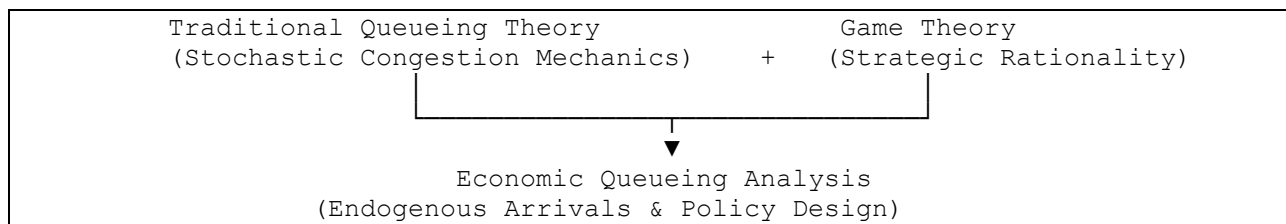
CHAPTER 2: A COMPREHENSIVE LITERATURE REVIEW ON THE OPTIMIZATION OF SERVICE SYSTEMS USING QUEUEING THEORY AND GAME THEORY

1. Introduction & Methodological Scope

The structural optimization of service systems represents a core pillar of modern Operations Research (OR) and Management Science (MS). Historically, service networks—ranging from physical facilities like hospitals and transport hubs to digital infrastructures like cloud computing platforms—were modeled using purely descriptive stochastic frameworks. Classical queueing theory, pioneered by A.K. Erlang in the early 20th century, offered elegant mathematical solutions to predict congestion, mean waiting times (W), and server utilization (ρ).

However, a fundamental limitation of classical queueing models is their treatment of arrival rates (λ) and service patterns as exogenous, mechanistic variables. These models assume that entities entering a system are passive agents lacking agency, strategic foresight, or self-interest.

In real-world decentralized systems, users are rational decision-makers who evaluate whether entering a congested system yields a net positive utility. Similarly, service providers act strategically to maximize profits or market share under competitive pressures. To rectify this limitation, scholars over the past six decades have synthesized **Queueing Theory** with **Game Theory**, establishing a prolific sub-field often referred to as *economic queueing analysis* or *behavioral queueing theory*.



This comprehensive literature review systemically synthesizes the foundational concepts, historical milestones, mathematical formulations, and domain-specific applications of this coupled methodology. By exploring both customer-side strategic dilemmas and provider-side competitions, this paper maps how game-theoretic mechanisms are utilized to optimize decentralized, congested service systems.

2. The Foundations of Behavioral Queueing (Naor's Paradigm)

The formal integration of strategic behavior into queueing frameworks originated with the seminal work of **Naor (1969)**. Naor introduced a fundamental economic perspective to a standard $M/M/1$ queue by evaluating the strategic choices of incoming customers who must decide whether to join a queue (*enqueueing*) or leave immediately (*balking*).

2.1 The Observable Queue Dynamics

In an observable queueing environment, arriving customers can see the exact number of individuals (n) currently in the system before making a decision. Naor modeled this interaction by establishing a linear utility function. Let:

- R be the gross reward obtained upon completing the service.
- C be the cost incurred per unit of time spent waiting and being served.
- μ be the exponential service rate of the single server.

When a customer arrives and observes n people ahead of them, their expected total time in the system is $(n+1)/\mu$. Thus, the net expected utility $U(n)$ of joining the queue is defined as:

$$U(n) = R - \frac{C(n+1)}{\mu}$$

A rational, self-interested customer joins the queue if and only if $U(n) \geq 0$. This implies there exists a strict threshold equilibrium strategy n_e , representing the maximum queue length a customer will tolerate:

$$n_e = \left\lfloor \frac{R}{C} \mu \right\rfloor$$

Naor's breakthrough lay in comparing this **individual equilibrium threshold (n_e)** with the **socially optimal threshold (n_o)**, which maximizes the collective net utility of all arrivals per unit of time. Crucially, Naor proved that:

$$n_o \leq n_e$$

This inequality mathematically formalizes the **Price of Anarchy (PoA)** in service systems: self-interested customers cause over-congestion. When an individual joins a queue, they consider their personal waiting cost but ignore the negative externality they impose on all subsequent arrivals by displacing them further back in line.

2.2 The Unobservable Queue Dynamics

Expanding upon Naor's model, **Edelson and Hildebrand (1975)** analyzed the unobservable counterpart, where arriving customers cannot observe the queue length n but know the structural parameters (λ, μ, R, C). In this scenario, customers adopt a mixed strategy, deciding to join the system with a certain probability $p \in [0, 1]$.

The effective arrival rate becomes $\lambda_e = p\lambda$. Under steady-state conditions for an $M/M/1$ queue, the expected waiting time is $1/(\mu - \lambda_e)$. The expected utility equation shifts to:

$$U(p) = R - \frac{C}{\mu - p\lambda}$$

Edelson and Hildebrand demonstrated that in unobservable settings, the self-interested Nash equilibrium probability (p_e) similarly exceeds the socially optimal probability (p_o). This foundational body of literature proved that regardless of information visibility, decentralized queues naturally suffer from market failures, creating a direct need for structural optimization through administrative policies.

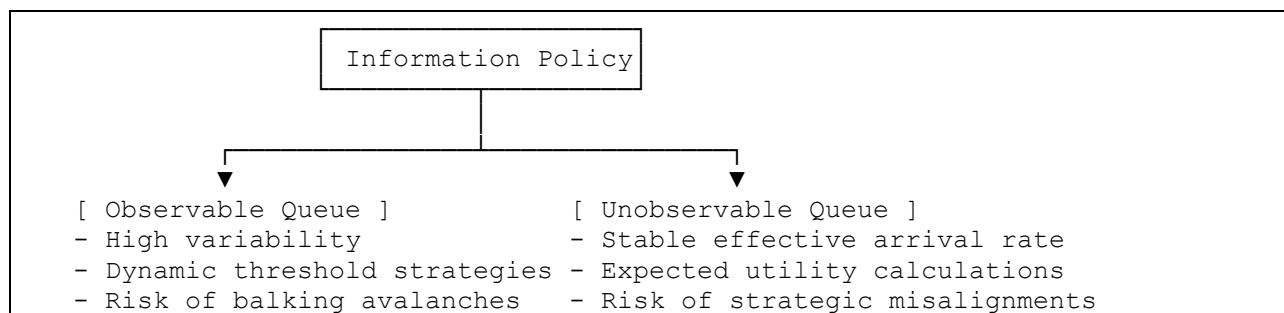
3. Customer-Side Strategic Behavior & Game Configurations

Following the classical paradigms established in the late 1960s and 1970s, researchers relaxed strict structural constraints to model more realistic human behaviors within service queues.

3.1 Information Asymmetry and Signaling

A major thrust of modern literature examines the strategic manipulation of information by the service provider. **Hassin (1986)** pioneered the structural comparison of information suppression versus disclosure, analyzing whether providers should reveal the queue length n .

Subsequent literature by **Hassin and Haviv (2003)** consolidated decades of research to prove that providing information does not always benefit the system. In scenarios with highly risk-averse customers, hiding the queue length can stabilize the arrival rate, whereas revealing high congestion causes catastrophic "balking avalanches," where the arrival rate drops to zero during peak periods, leaving servers temporarily idle later.



3.2 Balking, Reneging, and Jockeying as Nash Strategies

Beyond the binary decision to enter a system, advanced literature models ongoing dynamic choices made by agents within a queueing system:

- **Balking:** The immediate rejection of entry upon arrival due to perceived over-congestion.

- **Reneging:** The abandonment of a queue after joining because the realized wait time exceeds a psychological or operational threshold. **Ward and Glynn (2003)** integrated stochastic diffusion approximations to show how state-dependent reneging forms a Nash equilibrium when customers have time-varying opportunity costs.
- **Jockeying:** The act of switching between parallel queues in multi-server configurations. **Adan et al. (1991)** evaluated jockeying as a spatial game where customers perpetually optimize their position based on the state of adjacent lines, proving that instantaneous, costless jockeying effectively condenses parallel channels into a synchronized multi-server ($M/M/c$) equivalent.

4. Provider-Side Strategic Competition & Capacity Games

While customer-focused models optimize systems by controlling demand, a substantial body of operations management literature investigates the supply side: how multiple independent service firms compete for a shared pool of strategic customers.

4.1 Price Competition vs. Service-Rate Competition

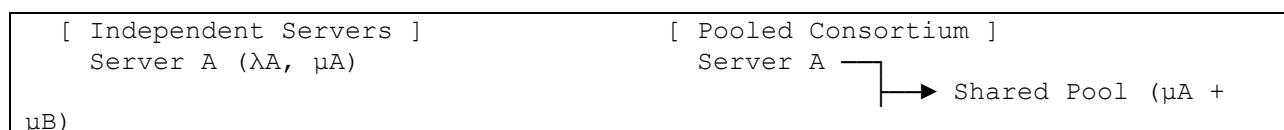
When multiple service providers enter a market, they engage in multi-stage non-cooperative games. Typically, providers choose their capacity (service rate μ_i) and their service fee (p_i). Customers then observe these metrics and sort themselves among the providers to maximize their utility.

Gilbert and Weng (1998) modeled a duopoly where two symmetric servers compete for an identical pool of price-and-time-sensitive customers. They discovered that when firms compete strictly on **service speed** (μ), they often over-invest in capacity, eroding market margins—a classic formulation of the *Tragedy of the Commons* applied to operational capacity.

Conversely, **Allon and Federgruen (2007)** proved that when competition shifts to a combination of **pricing and wait-time guarantees**, stable Nash equilibria emerge. They established that service competition behaves fundamentally differently from standard Bertrand or Cournot commodity competitions because the product quality itself (waiting time) is an endogenous outcome of the competitor's realized volume.

4.2 Cooperative Game Formulations and Profit Sharing

In contrast to non-cooperative games, recent literature extensively leverages **Cooperative Game Theory** to optimize multi-server consortiums. When independent service centers pool their capacities (e.g., airline alliances sharing maintenance crews or regional hospitals sharing intensive-care beds), they minimize individual idle times and achieve massive economies of scale.



Server B (λ_B, μ_B) * High cumulative idle times * Sub-optimal localized queues allocation	Server B —┐ * Reduced wait times via scale * Core Challenge: Fair profit
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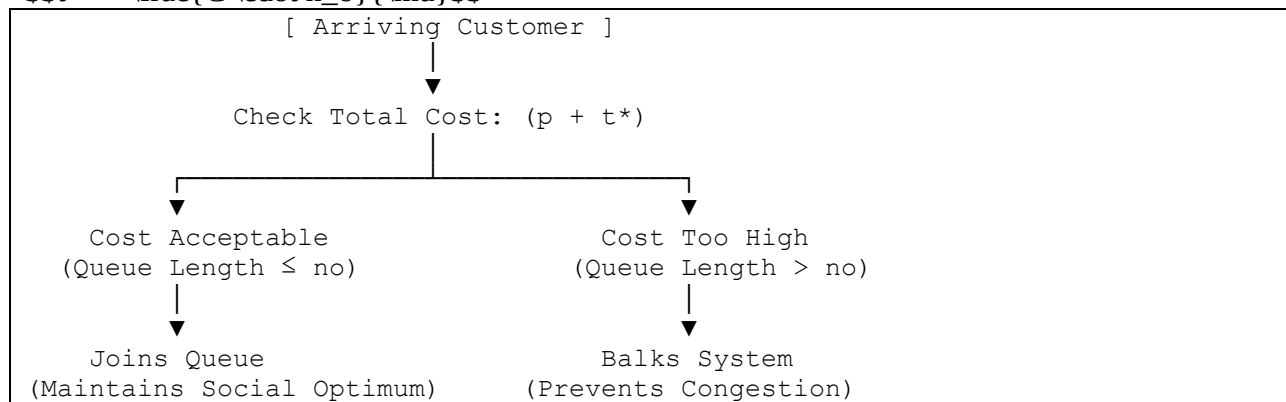
The fundamental optimization problem in this domain is the fair allocation of the joint profits generated by pooling. Scholars use the **Shapley Value** and the **Core** to design mathematically stable allocation mechanisms. **Anily and Haviv (2010)** demonstrated that cooperation in standard $M/M/1$ systems always yields a non-empty Core, meaning a payoff distribution exists such that no single provider or sub-coalition has an incentive to defect from the collaborative network.

5. Mechanism Design, Tolls, and Social Optimization

Because decentralized customer actions naturally result in sub-optimal social welfare, operations research relies heavily on **Mechanism Design** to structurally enforce optimal behavior. The primary tool utilized to align individual Nash equilibria with the social optimum is the imposition of Pigou-like congestion tolls.

Returning to Naor's paradigm, the social planner seeks to restrict entry once the queue length reaches n_o . To achieve this without explicitly barring entry, the planner can levy a flat fee (t) per customer. By setting the fee such that the individual utility at n_o drops below zero for the next prospective customer, the system self-regulates. Under Naor's formula, the optimal toll t^* is derived as:

$$t^* = \frac{C \cdot n_o}{\mu}$$



In more complex configurations, advanced mechanism design addresses populations with **heterogeneous time sensitivities**. **Dewan and Mendelson (1990)** studied a user base split into high-priority users (with high waiting costs C_h) and low-priority users (with low waiting costs C_l). They proved that a single flat toll fails to maximize social welfare.

Instead, they demonstrated that the system must be optimized using **Priority Queueing Mechanisms** accompanied by segment-specific pricing schedules. By charging a high premium for access to an expedited queue, the system naturally prompts highly time-sensitive users to

self-select into the priority tier while price-sensitive users choose the slower, cheaper tier, maximizing overall system utility.

6. Domain-Specific Literature Syntheses

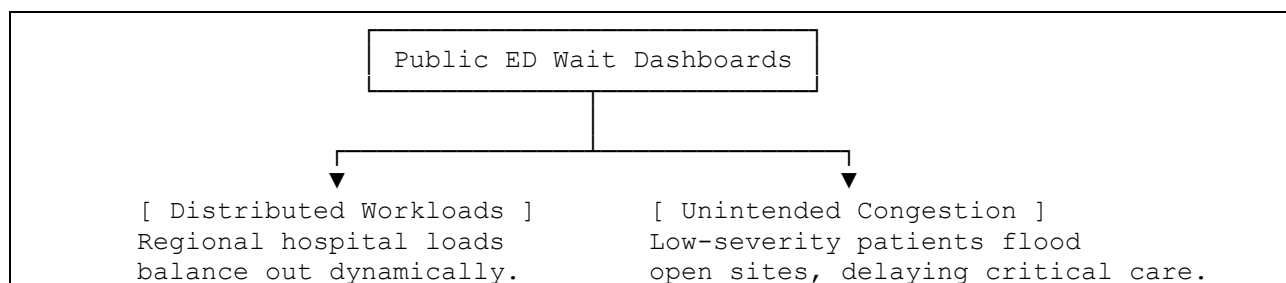
The theoretical intersection of queueing and game theories has been applied across a wide range of empirical disciplines. This section synthesizes key literature within three critical service domains.

6.1 Healthcare Operations and Emergency Triage

Healthcare delivery platforms represent highly volatile service systems where congestion directly impacts patient clinical outcomes. Unlike commercial systems, healthcare queues cannot use pricing tolls to deter arrivals due to ethical and regulatory mandates. Consequently, mechanism design must rely on non-monetary levers.

Huang (2012) investigated strategic patient behavior when selecting emergency departments (EDs). When hospitals publish real-time wait times on public dashboards, a spatial game is created among ambulatory patients. Huang proved that while transparency distributes patient loads more evenly across regional systems, it frequently causes an influx of low-severity patients to under-utilized facilities, unintentionally displacing high-severity patients who arrive later.

Furthermore, **Grani and Roth (2022)** analyzed multi-tier triage systems as a game where clinicians act as strategic agents. When doctors are evaluated on throughput metrics, they often engage in "gaming the queue"—speeding up the discharge of low-complexity patients to meet targets while delaying resource-intensive, critically ill individuals. Optimization models in healthcare therefore focus on designing scheduling rules that neutralize these misaligned clinical incentives.



6.2 Telecommunications, Cloud Networks, and Blockchain

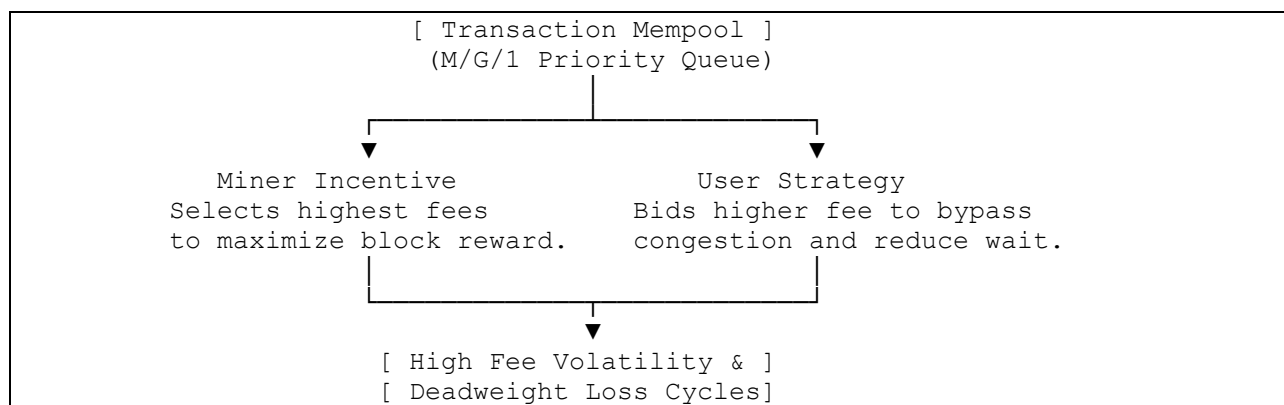
In digital environments, the entities in queues are not humans but automated packets, cloud computing tasks, or crypto-asset transactions. However, these systems are governed by the strategic priorities of the software engineers or network entities controlling them.

In cloud resource allocation, **Wolstencroft (2018)** reviewed the execution of containerized microservices across distributed server clusters. When multiple distinct corporate divisions share a unified corporate private cloud, they compete for processing cores.

By modeling this interaction as a bottleneck congestion game, Wolstencroft established that without dynamic resource quotas, individual divisions upload excessive, low-priority batches, causing severe latency spikes for enterprise-critical computations.

Within the decentralized architecture of blockchain networks, game-theoretic queueing has become vital for analyzing transaction confirmation systems. **Huberman, Leshno, and Moallemi (2019)** modeled the Bitcoin mempool as an $M/G/1$ priority queueing system where users compete for limited block space ($\$K$).

Because miners prioritize transactions with the highest transaction fee density, users engage in an ongoing, blind, first-price sealed-bid auction. The authors mapped the Nash equilibrium fee structure, showing that fee volatility is an unavoidable structural consequence of fixed block intervals when transaction arrival rates spike, leading to deadweight losses during peak periods.



6.3 Supply Chain Management and Supply-Side Queues

In industrial supply chains, lead times behave exactly like queueing delays. When multiple retail buyers source components from a single, capacity-constrained manufacturer, they are essentially sharing an $M/M/1$ or $M/G/1$ production queue.

Cachon and Zhang (2007) reviewed procurement games where buyers are sensitive to procurement lead times. If a buyer places an order, they increase the manufacturer's backlog, extending the lead time for all other buyers.

To optimize this system, the literature evaluates mechanisms like *allocation-as-a-function-of-shares*, where a buyer's priority in the manufacturing queue depends on their long-term volume commitments. This mechanism disincentivizes buyers from placing speculative, short-term orders during supply crunches, stabilizing lead times across the supply chain network.

7. Methodological Progressions: Stochastic & Dynamic Games

As computational capacities grew, researchers moved beyond the static, steady-state approximations that defined early behavioral queueing frameworks. Modern literature increasingly embraces dynamic, time-varying game configurations.

Evolutionary Trajectory of Behavioral Queueing Models:		
[Static Steady-State] → [Fluid Approximations] → [Stochastic Games]		
- Constant λ and μ rules	- Time-varying surges	- State-dependent
- Long-term averages Equilibria	- Deterministic path mapping	- Markov Perfect
- Naor/Edelson paradigms dynamic adjustments	- High-volume systems	- Real-time

- **Fluid Approximations and Mean-Field Games:** For high-volume service networks (such as thousands of riders interacting with thousands of drivers on ride-hailing networks like Uber or Lyft), computing discrete Nash equilibrium thresholds becomes computationally intractable. To resolve this, researchers leverage **Fluid Models** and **Mean-Field Games (MFG)**. **Bauso et al. (2016)** demonstrated that by treating the massive user base as a continuous fluid rather than discrete entities, differential equations can track macroscopic congestion flows while modeling microscopic rational choices. This framework allows platforms to optimize surge pricing dynamically as density fields shift across urban landscapes.
- **Markov Decision Processes & Markov Games:** When queueing networks feature state-dependent transitions (e.g., servers that slow down due to fatigue or speed up during crises), static games fall short. Researchers formulate these environments as **Stochastic Games** resolved through **Markov Perfect Equilibria (MPE)**. In these configurations, players re-evaluate their optimal strategies at every discrete queue transition ($s_n \rightarrow s_{n+1}$ or $s_n \rightarrow s_{n-1}$). **Altman and Shimkin (1998)** provided foundational proofs for processor-sharing queues, showing that under continuous state monitoring, unique dynamic Nash equilibria exist, though they require recursive dynamic programming algorithms to compute.

8. Identified Research Gaps & Future Trajectories

Despite the extensive depth of literature generated over the past several decades, several critical structural gaps remain unaddressed, charting clear trajectories for future research.

1. Bounded Rationality and Behavioral Economics

The vast majority of existing queueing-game models operate under the strict assumption of *hyper-rationality*, assuming human agents can instantly calculate complex steady-state probabilities and utility equations on the fly. Real-world human customers, however, exhibit **bounded rationality**, cognitive biases, and a skewed perception of time.

While preliminary work has integrated **Prospect Theory** into queueing environments to account for loss aversion regarding wait times, there is a distinct lack of empirical, data-driven validation. Future research must combine laboratory behavioral experiments with transactional big data to build empirically grounded utility models.

2. Algorithmic and AI-Driven Decision Entities

In modern service systems, humans are increasingly insulated from direct queueing choices by automated algorithmic intermediaries (e.g., smart routing assistants, automated stock portfolio rebalancers, or AI scheduling agents). These AI agents make automated, instantaneous queueing decisions based on machine learning models.

This shifts the strategic landscape from a human psychological game to an **algorithmic collusion or competition game**. Future literature must explore how reinforcement learning agents interact within congested queues and whether these algorithms risk converging on sub-optimal, collusive equilibria that harm human consumers.

3. Non-Stationary and Hyper-Transient Environments

The classical reliance on steady-state queueing metrics ($\$L$, $W\$$) assumes that service systems run indefinitely under fixed average parameters. However, contemporary urban and digital systems are highly transient, experiencing short, extreme demand spikes (e.g., food delivery surges during a sports event or network rushes during localized power outages).

Game-theoretic queueing formulations under hyper-transient, non-stationary conditions remain underdeveloped due to the extreme mathematical complexity of non-steady-state differential queueing equations. Developing robust heuristic optimization frameworks for these transient periods represents a critical frontier for operations research.

9. Conclusion

The synthesis of Queueing Theory and Game Theory has fundamentally transformed how operations research scholars analyze, design, and optimize service systems. By moving past the restrictive assumption of passive, mechanical traffic inputs, behavioral queueing models capture the nuanced reality of decentralized networks populated by strategic, self-interested agents. From Naor's foundational threshold equations to contemporary mean-field games governing global digital networks, this combined approach provides the rigorous analytical tools needed to diagnose systemic market failures—such as over-congestion and capacity inflation.

Crucially, this literature underscores that physical capacity expansion is rarely sufficient on its own to resolve service delays. Instead, true system optimization requires careful behavioral

alignment through mechanism design, dynamic toll pricing, tailored information sharing policies, and robust priority rules. As service infrastructures continue to evolve into highly automated, decentralized, and AI-driven ecosystems, the continuous refinement of game-theoretic queueing models will remain indispensable to building the resilient, high-efficiency service architectures of tomorrow.

CHAPTER 3: Queuing Theory Concepts

Queuing theory is the mathematical study of waiting lines, or queues. It utilizes stochastic models to predict line lengths, waiting times, and server utilization, allowing organizations to optimize their service systems.

1. Introduction and Core Concepts

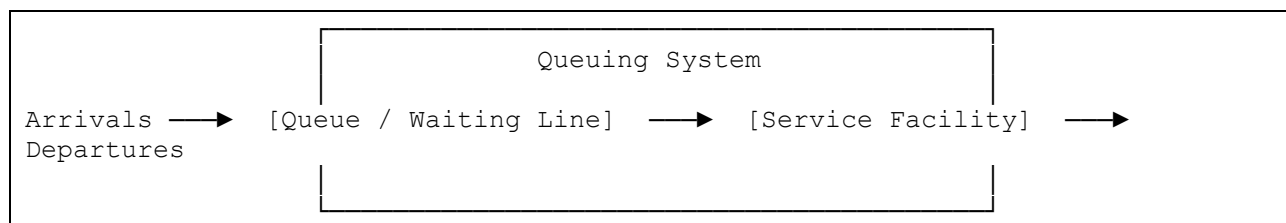
At its heart, queuing theory answers a fundamental operational question: **How do we balance the cost of providing service with the cost of making customers wait?**

If a business hires too many workers, service is fast, but capacity goes wasted (high operational cost). If a business hires too few workers, costs stay low, but long lines drive customers away (high waiting cost).

The Components of a Queuing System

Every queuing system is broken down into three main elements:

1. **The Arrival Process:** How customers arrive at the system (e.g., at random, in batches, following a specific time schedule).
2. **The Queue (Waiting Line):** The characteristics of the line itself, including its maximum capacity and how customers behave while waiting.
3. **The Service Process:** How customers are selected for service and how long the service takes.



2. System Characteristics and Input Parameters

To mathematically model a queue, we must precisely define its operational parameters.

A. Arrival Pattern

Arrivals are typically modeled as a random process over time.

- **Arrival Rate (λ):** The average number of arrivals per unit of time (e.g., $\lambda = 10$ customers per hour).
- **Inter-arrival Time:** The time between consecutive arrivals. If arrivals follow a Poisson distribution, the inter-arrival times follow an **Exponential distribution** with a mean of $1/\lambda$.

B. Service Mechanism

- **Service Rate (μ):** The average number of customers a single server can handle per unit of time if continuously busy (e.g., $\mu = 12$ customers per hour).
- **Service Time:** The duration of a service session, typically modeled using an Exponential, Erlang, or General distribution. The mean service time is $1/\mu$.

C. Queue Discipline

Queue discipline dictates the order in which waiting customers are selected for service:

- **FIFO / FCFS:** First-In, First-Out / First-Come, First-Served (e.g., a standard bank line).
- **LIFO / LCFS:** Last-In, First-Out / Last-Come, First-Served (e.g., data stacks, elevator exits).
- **SIRO:** Service in Random Order.
- **Priority (PR):** Customers are served based on importance or urgency (e.g., hospital emergency rooms).

D. System Capacity and Customer Behavior

- **Finite vs. Infinite Capacity:** A system may have a physical cap on how many people can wait (e.g., a small parking lot). If the queue is full, incoming arrivals are turned away.
- **Balking:** A customer arrives, sees the line is too long, and decides not to enter.
- **Reneging:** A customer enters the line but leaves after waiting too long without receiving service.
- **Jockeying:** A customer switches between parallel lines trying to find the fastest moving one.

3. Kendall's Notation

In 1953, David G. Kendall developed a standard shorthand notation to describe queuing models. It is written in the format:

$A / B / c / K / N / D$

Where:

- **A:** The arrival distribution.
- **B:** The service time distribution.
- **c:** The number of parallel servers.
- **K:** The maximum capacity of the system (queue + those being served). If omitted, it defaults to infinity (∞).
- **N:** The size of the calling population. If omitted, it defaults to infinity (∞).
- **D:** The queue discipline (e.g., FIFO, LIFO). If omitted, it defaults to FIFO.

Common Standard Abbreviations for A and B:

- **M (Markovian / Memoryless):** Exponential inter-arrival or service times (Poisson process).
- **D (Deterministic):** Constant, predictable times (e.g., automated assembly lines).
- **G (General):** An unspecified or arbitrary probability distribution.

Example: An $M/M/1$ queue represents a system with Markovian arrivals, Markovian service times, 1 server, infinite capacity, an infinite calling population, and a FIFO discipline.

4. Little's Law

Little's Law is one of the most important results in queuing theory. It was developed by John Little in 1961 and provides a simple relationship between the average number of customers in a system, the arrival rate of customers, and the average time spent in the system.

The law states that:

$$L = \lambda W$$

where:

- **L** = Average number of customers in the system
- **λ** = Average arrival rate of customers
- **W** = Average time a customer spends in the system

Similarly, for customers waiting only in the queue:

$$L_q = \lambda W_q$$

where:

- **L_q** = Average number of customers waiting in the queue
- **W_q** = Average waiting time in the queue

Little's Law is widely used because it applies to many types of service systems such as banks, hospitals, call centers, and transportation networks.

The total time spent in the system is equal to the waiting time plus the service time. Therefore:

$$W = W_q + 1/\mu W = W_q + \frac{1}{\mu} W = W_q + \mu^{-1}$$

where μ represents the service rate.

5. Mathematical Analysis of the M/M/1 Queue

The M/M/1 queue is the simplest and most commonly used queuing model. It assumes:

- Customers arrive randomly according to a Poisson process.
- Service times follow an exponential distribution.
- There is only one server.
- The queue can hold an unlimited number of customers.
- Customers are served on a First-Come, First-Served basis.

Utilization Factor (ρ)

The utilization factor shows how busy the server is. It is calculated as:

$$\rho = \lambda / \mu$$

where:

- λ = Arrival rate
- μ = Service rate

For the system to operate efficiently, the arrival rate must be less than the service rate ($\lambda < \mu$). If customers arrive faster than they can be served, the queue will continue to grow without limit.

Performance Measures

The main performance measures of an M/M/1 queue include:

- Probability that the system is empty.
- Probability of having a specific number of customers in the system.
- Average number of customers in the system.
- Average number of customers waiting in the queue.
- Average time spent in the system.
- Average waiting time in the queue.

These measures help managers evaluate service efficiency and determine whether additional resources are needed.

6. Advanced Queuing Models

Although the M/M/1 model is useful for understanding basic queue behavior, many real-life systems are more complex. Therefore, advanced queuing models are used.

A. M/M/c Model (Multiple Servers)

The M/M/c model consists of multiple servers working in parallel to serve customers from a common queue.

Examples include:

- Bank branches with several tellers.
- Hospital registration counters.
- Customer support centers with multiple agents.

The utilization of the system is given by

$$\rho = \frac{\lambda}{c\mu}$$

where c represents the number of servers.

The system remains stable when the arrival rate is lower than the total service capacity of all servers combined.

Advantages:

- Reduces customer waiting time.
- Increases service efficiency.
- Handles higher customer demand.

B. M/M/1/K Model (Limited Capacity Queue)

In some systems, only a limited number of customers can be present at a time. This situation is represented by the M/M/1/K model.

Examples include:

- Small parking lots.
- Elevator systems.
- Telephone networks with limited capacity.

When the maximum capacity (**K**) is reached, any new arriving customer is rejected or blocked from entering the system.

The effective arrival rate considers only customers who successfully enter the system:

$$\lambda_{eff} = \lambda(1 - PK) \lambda_{\{eff\}} = \lambda(1 - P_K) \lambda_{eff} = \lambda(1 - PK)$$

where **P_k** is the probability that the system is full.

This model helps organizations analyze customer loss due to limited capacity.

C. M/G/1 Model (General Service Time Distribution)

The M/G/1 model is similar to the M/M/1 model but allows service times to follow any probability distribution rather than only an exponential distribution.

Examples include:

- Medical consultations.
- Technical support services.
- Repair and maintenance operations.

A key finding of this model is that greater variation in service times leads to longer queues and increased waiting times.

In simple terms, even if two service systems have the same average service speed, the system with more unpredictable service times will usually experience longer queues.

This principle highlights an important concept in queuing theory:

Higher variability in service times generally reduces system performance and increases customer waiting time.

7. Comparison of Core Models

Feature	M/M/1	M/M/c	M/M/1/K
Number of Servers	One server	Multiple servers (c servers)	One server
Maximum Customers Allowed in System	Unlimited	Unlimited	Limited to K customers

Feature	M/M/1	M/M/c	M/M/1/K
Condition for Smooth Operation	Arrival rate must be less than service rate	Arrival rate must be less than total service capacity of all servers	Can operate for any arrival rate because capacity is limited
Customer Rejection	No customer is rejected	No customer is rejected	Customers are rejected when the system is full

8. Real-World Applications and Optimization

Queuing theory is heavily leveraged across distinct industries to refine systems engineering and operations management:

- **Telecommunications & Networks:** Packet switching routers model data traffic packets as arrivals and bandwidth processing as the server to minimize dropped packets (\$M/M/1/K\$ architecture).
- **Healthcare Management:** Designing emergency room capacity (\$M/M/c\$ models) to ensure patient wait times (\$W_q\$) stay safely below critical thresholds.
- **Retail Operations:** Deciding whether a grocery store should implement a single unified serpentine queue feeding into multiple registers vs. separate traditional lines for individual cashiers.

Economic Cost Optimization

To optimize a queuing system, businesses minimize a total cost function (\$TC\$):

$$TC = C_s \cdot c + C_w \cdot L$$

Where:

- C_s = *Cost of providing one unit of service capacity (e.g., hourly wages of a server).*
- c = *Number of service channels.*
- C_w = *Cost of customer waiting time (e.g., loss of goodwill, missed SLA penalties).*
- L = *Average number of customers waiting in the system.*

By plotting these opposing cost variables against system capacity, analysts can pinpoint the exact mathematical equilibrium where operational expenditures and customer friction are minimized.

1. Structural Framework & Kendall's Notation

Queuing systems are formally defined using the standard extended **Kendall's Notation**:

$$A/B/c/K/N/D$$

Parameter Definitions

- **A (Arrival Process)**: Probability distribution governing inter-arrival times.
- **B (Service Process)**: Probability distribution governing service execution times.
- **c (Server Count)**: Number of identical parallel service channels.
- **K (System Capacity)**: Maximum allowable number of customers within the system (queue + in-service). Defaults to ∞ if omitted.
- **N (Population Size)**: The total volume of the calling source population. Defaults to ∞ if omitted.
- **D (Queue Discipline)**: The service operational order protocol (e.g., FIFO, LIFO, SIRO, Priority). Defaults to FIFO if omitted.

Standard Distribution Classifications

- **M (Markovian / Exponential)**: Memoryless Poisson arrival process or exponentially distributed service times.
- **D (Deterministic)**: Constant, non-variance intervals or durations.
- **E_k (Erlang-k)**: Sum of k independent, identical exponential phases.
- **H_k (Hyper-exponential)**: Mixture of k parallel exponential phases chosen with fixed probabilities.
- **G or GI (General / General Independent)**: Arbitrary probability distribution with known mean and variance.

2. Universal Conservation Laws & Steady-State Foundations

Before evaluating specific parametric systems, certain foundational balance equations apply universally to all queuing frameworks operating under steady-state equilibrium ($\lim_{t \rightarrow \infty}$).

2.1 Little's Law

For any stable queuing system, the long-term average number of items in a system component equals the long-term average effective arrival rate multiplied by the average time spent within that component.

$$L = \lambda_e W$$

$$L_q = \lambda_e W_q$$

Where:

- **L**: Average total number of customers present within the system.
- **L_q**: Average number of customers waiting in the queue buffer line.
- **W**: Average total residence time spent in the system.
- **W_q**: Average waiting time accrued exclusively in the queue buffer line.
- **λ_e**: Effective entry arrival rate (accounting for blockages or capacity rejections).

2.2 System Decomposition Identity

The total time an entity spends in a system is partitioned into waiting time and structural execution time. Let $E[S]$ denote the mean service time:

$$W = W_q + E[S] = W_q + \frac{1}{\mu}$$

Multiplying through by λ_e generates the universal conservation equation:

$$L = L_q + \frac{\lambda_e}{\mu}$$

2.3 Traffic Metrics

- **Traffic Intensity (A):** The total structural load offered to the system:

$$A = \frac{\lambda}{\mu}$$

- **Server Utilization Factor (ρ):** The operational probability that an individual server channel is occupied:

$$\rho = \frac{\lambda}{c\mu}$$

3. Stochastic Birth-Death Process Equations

The majority of analytical queuing formulations are derived directly from the **Continuous-Time Markov Chain (CTMC)** governed by birth-death mechanics, where transitions only occur between adjacent state spaces ($n \rightarrow n + 1$ or $n \rightarrow n - 1$).

3.1 General State-Transition Balance Equations

Let λ_n denote the state-dependent birth (arrival) rate given n entities are present, and μ_n denote the corresponding state-dependent death (service) rate.

$$\begin{array}{ccccc} \text{State } (n-1) & \xleftarrow{(\mu_n)} & \text{State } (n) & \xleftarrow{(\mu_{n+1})} & \text{State } (n+1) \\ & \xrightarrow{(\lambda_{n-1})} & & \xrightarrow{(\lambda_n)} & \end{array}$$

The stationary state probabilities satisfy the global cut-balance equations:

$$\lambda_n P_n = \mu_{n+1} P_{n+1} \quad \text{for } n \geq 0$$

3.2 Product-Form Solutions

By mathematical induction, any birth-death system state probability P_n can be derived as a function of the empty-system boundary condition P_0 :

$$P_n = P_0 \prod_{i=0}^{n-1} \frac{\lambda_i}{\mu_{i+1}} \quad \text{for } n \geq 1$$

Invoking the probability conservation axiom $\sum_{n=0}^{\infty} P_n = 1$, the normalization formula yields:

$$P_0 = \left[1 + \sum_{n=1}^{\infty} \prod_{i=0}^{n-1} \frac{\lambda_i}{\mu_{i+1}} \right]^{-1}$$

4. The Single-Server Markovian Model (M/M/1)

4.1 System Boundary Rules

- Arrivals follow a Poisson distribution with static rate $\lambda_n = \lambda$.
- Service times follow an exponential distribution with static rate $\mu_n = \mu$.
- Infinite capacity buffer system ($K = \infty$, $N = \infty$).
- Stability constraint: $\rho = \frac{\lambda}{\mu} < 1$.

4.2 State Probability Formulations

Applying the birth-death product rule yields:

$$P_n = (1 - \rho)\rho^n \quad \text{for } n \geq 0$$

$$P_0 = 1 - \rho$$

4.3 Structural Performance Indicators

- **Expected System Population (L):**

$$L = \sum_{n=0}^{\infty} nP_n = \frac{\rho}{1 - \rho} = \frac{\lambda}{\mu - \lambda}$$

- **Expected Queue Length (L_q):**

$$L_q = \sum_{n=1}^{\infty} (n - 1)P_n = \frac{\rho^2}{1 - \rho} = \frac{\lambda^2}{\mu(\mu - \lambda)}$$

- **Expected Sojourn Time in System (W):**

$$W = \frac{L}{\lambda} = \frac{1}{\mu - \lambda}$$

- **Expected Waiting Time in Queue (W_q):**

$$W_q = \frac{L_q}{\lambda} = \frac{\lambda}{\mu(\mu - \lambda)}$$

4.4 Cumulative Distribution Functions (CDF)

- **Sojourn Time Distribution Vector (T):**

$$P(T \leq t) = 1 - e^{-(\mu - \lambda)t} \quad \text{for } t \geq 0$$

- **Queue Waiting Time Distribution Vector (T_q):**

$$P(T_q \leq t) = 1 - \rho e^{-(\mu - \lambda)t} \quad \text{for } t \geq 0$$

5. The Multi-Server Markovian Model ($M/M/c$)

5.1 System Boundary Rules

- c identical parallel servers.
- State-dependent service rates:

$$\mu_n = \begin{cases} n\mu & \text{if } 0 \leq n < c \\ c\mu & \text{if } n \geq c \end{cases}$$

- Stability constraint: $\rho = \frac{\lambda}{c\mu} < 1$.

5.2 State Probability Formulations

- **Empty System Probability (P_0):**

$$P_0 = \left[\sum_{n=0}^{c-1} \frac{(c\rho)^n}{n!} + \frac{(c\rho)^c}{c!(1-\rho)} \right]^{-1}$$

- **State Occupancy Probabilities (P_n):**

$$P_n = \begin{cases} \frac{(c\rho)^n}{n!} P_0 & \text{for } 0 \leq n < c \\ \frac{c^c \rho^n}{c!} P_0 & \text{for } n \geq c \end{cases}$$

5.3 Erlang's Delay Formula (Erlang C)

The structural probability that an arriving item encounters all servers busy and must wait in queue:

$$C(c, \frac{\lambda}{\mu}) = P(N \geq c) = \frac{\frac{(c\rho)^c}{c!(1-\rho)}}{\sum_{n=0}^{c-1} \frac{(c\rho)^n}{n!} + \frac{(c\rho)^c}{c!(1-\rho)}} = \frac{(c\rho)^c P_0}{c!(1-\rho)}$$

5.4 System Operational Metrics

- Expected Queue Length (L_q):

$$L_q = \frac{(c\rho)^c \rho}{c!(1-\rho)^2} P_0 = \frac{\rho C(c, \frac{\lambda}{\mu})}{1-\rho}$$

- Expected System Population (L):

$$L = L_q + \frac{\lambda}{\mu} = L_q + c\rho$$

- Expected Queue Time (W_q):

$$W_q = \frac{L_q}{\lambda} = \frac{C(c, \frac{\lambda}{\mu})}{c\mu - \lambda}$$

- Expected Total Residence Time (W):

$$W = W_q + \frac{1}{\mu} = \frac{C(c, \frac{\lambda}{\mu})}{c\mu - \lambda} + \frac{1}{\mu}$$

6. Finite Capacity Single-Server Model ($M/M/1/K$)

6.1 Structural Parameters

- Maximum internal capacity bounds system to K entities.
- Arrivals are blocked and permanently lost if $n = K$.
- The system remains stable for all values of λ and μ ($\rho = \lambda/\mu \leq 1$).

6.2 State Space Probabilities

Let $r = \frac{\lambda}{\mu}$.

$$P_0 = \begin{cases} \frac{1-r}{1-r^{K+1}} & \text{if } r \leq 1 \\ \frac{1}{K+1} & \text{if } r = 1 \end{cases}$$

$$P_n = \begin{cases} r^n P_0 & \text{if } 0 \leq n \leq K \\ 0 & \text{if } n > K \end{cases}$$

6.3 Effective Flux & Loss Rates

- **Blocking Probability (P_K):** The probability that an arriving system entity is rejected:

$$P_K = r^K P_0$$

- **Effective Arrival Rate (λ_e):**

$$\lambda_e = \lambda(1 - P_K)$$

6.4 Analytical Descriptors

- **Expected System Size (L):**

$$L = \begin{cases} \frac{r}{1-r} - \frac{(K+1)r^{K+1}}{1-r^{K+1}} & \text{if } r \neq 1 \\ \frac{K}{2} & \text{if } r = 1 \end{cases}$$

- **Expected Queue Length (L_q):**

$$L_q = L - (1 - P_0)$$

- **Sojourn and Wait Vectors (via Little's Law and λ_e):**

$$W = \frac{L}{\lambda_e} = \frac{L}{\lambda(1 - P_K)}$$

$$W_q = \frac{L_q}{\lambda_e} = \frac{L_q}{\lambda(1 - P_K)}$$

7. Finite Capacity Multi-Server Model ($M/M/c/K$)

7.1 Parameter Matrix

- c parallel processors with a finite physical ceiling of K elements where $K \geq c$.
- State-dependent service adjustments apply identical to the $M/M/c$ model for index parameters up to capacity limit K .

7.2 Core Probabilities

Let $r = \frac{\lambda}{\mu}$ and $\rho = \frac{r}{c}$.

$$P_0 = \left[\sum_{n=0}^{c-1} \frac{r^n}{n!} + \frac{r^c}{c!} \sum_{n=c}^K \rho^{n-c} \right]^{-1}$$

If $\rho \neq 1$:

$$P_0 = \left[\sum_{n=0}^{c-1} \frac{r^n}{n!} + \frac{r^c(1 - \rho^{K-c+1})}{c!(1 - \rho)} \right]^{-1}$$

If $\rho = 1$:

$$P_0 = \left[\sum_{n=0}^{c-1} \frac{r^n}{n!} + \frac{r^c}{c!}(K - c + 1) \right]^{-1}$$

The general state index is computed via:

$$P_n = \begin{cases} \frac{r^n}{n!} P_0 & \text{for } 0 \leq n < c \\ \frac{r^n}{c! c^{n-c}} P_0 & \text{for } c \leq n \leq K \end{cases}$$

7.3 Mathematical Descriptions

- **Effective Entry Flow Rate (λ_e):**

$$\lambda_e = \lambda(1 - P_K)$$

- **Expected Queue Pipeline Volume (L_q):**

$$L_q = \frac{P_0 r^c \rho}{c!(1 - \rho)^2} [1 - \rho^{K-c+1} - (1 - \rho)(K - c + 1)\rho^{K-c}]$$

- **Expected Integrated System Volume (L):**

$$L = \sum_{n=0}^{c-1} n P_n + L_q + c \left(1 - \sum_{n=0}^{c-1} P_n \right)$$

- **Temporal Realities (W, W_q):**

$$W = \frac{L}{\lambda_e}, \quad W_q = \frac{L_q}{\lambda_e}$$

8. Finite Calling Source Populations ($M/M/1/\infty/N$ & $M/M/c/\infty/N$)

When the calling source population size N is limited, the entry influx rate inherently drops as the internal system volume expands because active internal users cannot generate new arrivals.

8.1 Single Server Engine ($M/M/1/\infty/N$)

- State Dependent Entry Flux: $\lambda_n = (N - n)\lambda$ for $0 \leq n \leq N$.
- State Service Flux: $\mu_n = \mu$ for $n \geq 1$.

State Estimations

$$P_0 = \left[\sum_{n=0}^N \frac{N!}{(N-n)!} \left(\frac{\lambda}{\mu} \right)^n \right]^{-1}$$

$$P_n = \frac{N!}{(N-n)!} \left(\frac{\lambda}{\mu} \right)^n P_0 \quad \text{for } 0 \leq n \leq N$$

Performance Metrics

- **Expected System Population (L):**

$$L = N - \frac{\mu}{\lambda}(1 - P_0)$$

- **Expected Queue Length (L_q):**

$$L_q = N - \frac{\lambda + \mu}{\lambda}(1 - P_0)$$

- **Effective Arrival Rate (λ_e):**

$$\lambda_e = \lambda(N - L)$$

- **Operational Trajectories:**

$$W = \frac{L}{\lambda(N - L)}, \quad W_q = \frac{L_q}{\lambda(N - L)}$$

8.2 Multi-Server Engine ($M/M/c/\infty/N$)

- State Dependent Entry Flux: $\lambda_n = (N - n)\lambda$ for $0 \leq n \leq N$.
- State Service Flux matches the standard multi-server partition bounds up to limit index N .

Mathematical Equations

$$P_0 = \left[\sum_{n=0}^{c-1} \binom{N}{n} \left(\frac{\lambda}{\mu} \right)^n + \sum_{n=c}^N \frac{N!}{(N-n)!c!c^{n-c}} \left(\frac{\lambda}{\mu} \right)^n \right]^{-1}$$

$$P_n = \begin{cases} \binom{N}{n} \left(\frac{\lambda}{\mu} \right)^n P_0 & \text{for } 0 \leq n < c \\ \frac{N!}{(N-n)!c!c^{n-c}} \left(\frac{\lambda}{\mu} \right)^n P_0 & \text{for } c \leq n \leq N \end{cases}$$

Structural Performance Metrics

- **Expected Queue Length (L_q):**

$$L_q = \sum_{n=c}^N (n-c)P_n$$

- **Expected System Population (L):**

$$L = \sum_{n=0}^{c-1} nP_n + L_q + c \sum_{n=c}^N P_n$$

- **Effective Realized Arrival Rate (λ_e):**

$$\lambda_e = \lambda(N - L)$$

- **Temporal Horizons:**

$$W = \frac{L}{\lambda_e}, \quad W_q = \frac{L_q}{\lambda_e}$$

9. The Loss System Paradigm ($M/M/c/c$ - Erlang Loss Model)

This structural variation handles scenarios with zero storage queue capabilities ($K = c$). Incoming requests that find all servers occupied are immediately rejected.

9.1 State Distribution

Using the birth-death matrix under the constraint boundary $n \leq c$:

$$P_n = \frac{\frac{1}{n!} \left(\frac{\lambda}{\mu}\right)^n}{\sum_{i=0}^c \frac{1}{i!} \left(\frac{\lambda}{\mu}\right)^i} \quad \text{for } 0 \leq n \leq c$$

9.2 Erlang's Loss Formula (Erlang B)

The structural probability that an incoming request is blocked and dropped:

$$B(c, \frac{\lambda}{\mu}) = P_c = \frac{\frac{1}{c!} \left(\frac{\lambda}{\mu}\right)^c}{\sum_{i=0}^c \frac{1}{i!} \left(\frac{\lambda}{\mu}\right)^i}$$

9.3 System Performance Indicators

- Since $K = c$, the queue metric values collapse to zero: $L_q = 0, W_q = 0$.
- **Effective Throughput Rate (λ_e):**

$$\lambda_e = \lambda(1 - B(c, \frac{\lambda}{\mu}))$$

- **Expected Number of Busy Servers (L):**

$$L = \frac{\lambda_e}{\mu} = \frac{\lambda}{\mu}(1 - B(c, \frac{\lambda}{\mu}))$$

- **Average System Residence Time (W):**

$$W = \frac{L}{\lambda_e} = \frac{1}{\mu}$$

10. Non-Markovian Models with Arbitrary Variance ($M/G/1$)

When service durations deviate from the memoryless exponential profile, tracking state spaces requires embedding techniques or relying on the **Pollaczek-Khinchine (P-K)** equations.

10.1 Statistical Metrics

- Let $E[S] = \frac{1}{\mu}$ represent the mean service time.
- Let σ^2 define the service time variance.
- The utilization factor is given by $\rho = \lambda E[S] = \frac{\lambda}{\mu} < 1$.
- **Squared Coefficient of Variation (C_s^2):** A normalized measure of service time variability:

$$C_s^2 = \frac{\sigma^2}{(E[S])^2} = \sigma^2 \mu^2$$

10.2 The Pollaczek-Khinchine (P-K) Formulae

- **Expected Queue Length (L_q):**

$$L_q = \frac{\lambda^2 \sigma^2 + \rho^2}{2(1 - \rho)} = \frac{\rho^2(1 + C_s^2)}{2(1 - \rho)}$$

- **Expected Total System Volume (L):**

$$L = \rho + L_q = \rho + \frac{\rho^2(1 + C_s^2)}{2(1 - \rho)}$$

- **Expected Waiting Delay in Queue (W_q):**

$$W_q = \frac{L_q}{\lambda} = \frac{\lambda(\sigma^2 + (1/\mu^2))}{2(1 - \rho)} = \frac{\rho E[S](1 + C_s^2)}{2(1 - \rho)}$$

- **Expected Total Residence Time (W):**

$$W = W_q + E[S] = W_q + \frac{1}{\mu}$$

10.3 Structural State Probability P_0

Regardless of the structural distribution of G , the probability that the single server sits idle matches the Markovian single-server model:

$$P_0 = 1 - \rho$$

11. Core Specialized Non-Markovian Variants

11.1 The Deterministic Infrastructure ($M/D/1$)

In this system, service delivery times are constant and uniform ($\sigma^2 = 0 \Rightarrow C_s^2 = 0$). Substituting these values into the P-K formulations yields:

$$L_q = \frac{\rho^2}{2(1-\rho)}$$

$$L = \rho + \frac{\rho^2}{2(1-\rho)}$$

$$W_q = \frac{\rho}{2\mu(1-\rho)}$$

$$W = \frac{1}{\mu} + \frac{\rho}{2\mu(1-\rho)}$$

11.2 Erlang-k Distributed Service Engine ($M/E_k/1$)

In this setup, service is broken down into k independent, identical exponential stages, each with a mean duration of $1/(k\mu)$.

$$\text{Variance of Service: } \sigma^2 = \frac{1}{k\mu^2} \Rightarrow C_s^2 = \frac{1}{k}$$

Substituting these values into the P-K equations simplifies the formulas to:

$$L_q = \frac{1+k}{2k} \cdot \frac{\rho^2}{1-\rho}$$

$$L = \rho + \frac{1+k}{2k} \cdot \frac{\rho^2}{1-\rho}$$

$$W_q = \frac{1+k}{2k} \cdot \frac{\lambda}{\mu(\mu-\lambda)}$$

$$W = \frac{1}{\mu} + W_q$$

12. General Approximations for Advanced Multi-Server Systems ($G/G/c$)

Exact closed-form analytical solutions are generally unavailable for networks with non-Poisson arrival streams running through multi-server channels ($G/G/c$). Systems engineers rely on **Kingman's Heavy-Traffic Approximations** and **Allen-Cunneen Structural Formulae**.

12.1 Statistical Influx Vectors

- C_a^2 : Squared coefficient of variation for inter-arrival intervals.
- C_s^2 : Squared coefficient of variation for service execution durations.
- $\rho = \frac{\lambda}{c\mu} < 1$.

12.2 The Allen-Cunneen Formula for $W_q(G/G/c)$

This approximation links general distributions back to the standard Markovian multi-server framework ($M/M/c$):

$$W_q(G/G/c) \approx \left(\frac{C_a^2 + C_s^2}{2} \right) W_q(M/M/c)$$

Where $W_q(M/M/c)$ represents Erlang's delay formulation defined in Section 5.4:

$$W_q(M/M/c) = \frac{C(c, \frac{\lambda}{\mu})}{c\mu - \lambda}$$

12.3 Structural Performance Estimations

Once $W_q(G/G/c)$ is approximated, the remaining operational performance metrics can be estimated using Little's Law:

$$L_q(G/G/c) = \lambda W_q(G/G/c)$$

$$W(G/G/c) = W_q(G/G/c) + \frac{1}{\mu}$$

$$L(G/G/c) = \lambda W(G/G/c)$$

Summary Matrix of Governing Equations

Queue Model Variant	Metric P_0 (System Empty)	Metric L_q (Queue Occupancy)	Metric $\bar{W}$ (Mean Waiting Time)
$M/M/1$	$1 - \rho$	$\frac{\rho^2}{1-\rho}$	$\frac{\rho}{\mu}$
$M/M/c$	$[\sum_0^{c-1} \frac{(c\rho)^n}{n!} + \frac{(c\rho)^c}{c!(1-\rho)}]^{-1}$	$\frac{\rho C(c, \frac{\lambda}{\mu})}{1-\rho}$	$\frac{C}{c}$
$M/M/1/K$	$\frac{1-\rho}{1-\rho^{K+1}}$	$L - (1 - P_0)$	$\frac{1}{\lambda}$
$M/M/c/K$	Formula in Section 7.2	Formula in Section 7.3	$\frac{1}{\lambda}$
$M/M/1/\infty/N$	$[\sum_0^N \frac{N!}{(N-n)!} \rho^n]^{-1}$	$N - \frac{\lambda+\mu}{\lambda}(1 - P_0)$	$\frac{1}{\lambda}$
$M/G/1$	$1 - \rho$	$\frac{\rho^2(1+C_s^2)}{2(1-\rho)}$	$\frac{\rho}{\mu}$
$M/D/1$	$1 - \rho$	$\frac{\rho^2}{2(1-\rho)}$	$\frac{1}{2\mu}$
$M/E_k/1$	$1 - \rho$	$\frac{1+k}{2k} (\frac{\rho^2}{1-\rho})$	$\frac{1}{2\mu}$
$G/G/c$	General Approximation	$\lambda W_q(G/G/c)$	



CHAPTER 4: GAME THEORY CONCEPTS

Game Theory

Game theory was developed for decision making under conflicting situations where there are one or more opponents (players). The games like chess, poker, etc. have the characteristics of competition and are played according to some definite rules. Game theory provides optimal solutions to such games, assuming that each of the players wants to maximize his profit or minimize his loss.

Game theory has applications in a variety of areas including business and economics. In 1994, the Nobel Prize for Economic Sciences was won by John F. Nash, Jr., John C. Harsanyi, and Reinhard Selton for their analysis of equilibria in the theory of noncooperative games. Later, in 2005, Robert J. Aumann and Thomas C. Schelling won the Nobel Prize for Economic Sciences for enhancing our understanding of conflict and cooperation through game theory analysis.

MODULE - 1: Basic Concept and Terminologies, Two-person Zero-sum Game, and Game with Pure and Mixed Strategies

In this Module, we will discuss some basic terminologies used in Game Theory, two-person zero-sum game and games with pure and mixed strategies.

BASIC TERMINOLOGIES

The following terminologies are commonly used in Game theory.

Player : Each participant (interested party) of a game is called a player.

Strategy : The strategy of a player is the predetermined rule by which a player decides his course of action from the list of courses of action during the game. A strategy may be of two types:

- *Pure strategy* - It is a decision, in advance of all plays, always to choose a particular course of action.

- *Mixed strategy* - It is a decision, in advance of all plays, to choose a course of action for each play in accordance with some particular probability distribution.

Optimal strategy : The course of action which maximizes the profit of a player or minimizes his loss is called an optimal strategy.

Payoff : The outcome of playing a game is called payoff.

Payoff matrix : When the players select their particular strategies, the payoffs (gains or losses) can be represented in the form of a matrix called the payoff matrix.

3

Saddle point : A saddle point is an element of the payoff matrix, which is both the smallest element in its row and the largest element in its column. Furthermore, the saddle point is also regarded as an equilibrium point in the theory of games.

Value of the game : It refers to the expected outcome per play when players follow their optimal strategy.

1.2 Two-Person Zero-Sum Game

A game with only two players is called a two-person zero-sum game if the losses of one player are equivalent to the gains of the other so that the sum of their net gains is zero. This game also known as *rectangular game*.

In a two-person game, suppose that the player A has m activities and the player B has n activities. Then a payoff matrix can be formed by adopting the following rules:

- (i) Row designations for each matrix are activities available to the player A .
- (ii) Column designations for each matrix are activities available to the player B .
- (iii) Cell entry v_{ij} is the payment to the player A in A 's payoff matrix when A chooses the activity i and B chooses the activity j .

- (iv) For a zero-sum game, the cell entry in the player B 's payoff matrix will be negative corresponding to the cell entry v_{ij} in the player A 's payoff matrix so that the sum of payoff matrices for the players A and B is ultimately zero, see Tables 1.1 and 1.2.

		Player B			
		1	2	...	n
Player A	1	v_{11}	v_{12}	...	v_{1n}
	2	v_{21}	v_{22}	...	v_{2n}
	...	...	...	...	...
	m	v_{m1}	v_{m2}	...	v_{mn}
		...	...	...	...

Table 1.1: Player A 's payoff matrix

		Player B			
		1	2	...	n
Player A	1	$-v_{11}$	$-v_{12}$	...	$-v_{1n}$
	2	$-v_{21}$	$-v_{22}$	...	$-v_{2n}$
	...	...	...	...	...
	m	$-v_{m1}$	$-v_{m2}$	...	$-v_{mn}$
		...	...	...	...

Table 1.2: Player B 's payoff matrix

Consider a two-person coin tossing game. Each player tosses an unbiased coin simultaneously. Each player selects either a head H or a tail T. If the outcomes match (i.e., (H, H) or (T, T)) then A wins Rs. 4 from B; otherwise, B wins Rs. 3 from A. Player A 's payoff matrix is given in Table 1.3. This game is a two-person zero-sum game, since the winning of one player is taken as losses for the other. Each player has his choice from amongst two pure strategies H and T.

		Player B	
		H	T
Player A	H	4	-3
	T	-3	4

Table 1.3

1.3 Pure Strategies (Minimax and Maximin Criterion)

The simplest type of game is one where the best strategies for both players are pure strategies. This is the case if and only if, the payoff matrix contains a saddle point.

Theorem 1.1: Let (v_{ij}) be the $m \times n$ payoff matrix for a two-person zero-sum game. If v

denotes the maximin value and v^- the minimax value of the game, then $v^- \geq v$. That is,

$$\min_j [\max_i \{v_{ij}\}] \geq \max_i [\min_j \{v_{ij}\}].$$

Proof: We have

$$\begin{aligned} \max_i \{v_{ij}\} &\geq v_{ij} \quad \text{for all } j = 1, 2, \dots, n \\ \text{and } \min_j \{v_{ij}\} &\leq v_{ij} \quad \text{for all } i = 1, 2, \dots, m \end{aligned}$$

Let the above maximum and minimum values be attained at $i = i_1$ and $j = j_1$, respectively, i.e.,

$$\max_i \{v_{ij}\} = v_{i_1 j} \quad \text{and} \quad \min_j \{v_{ij}\} = v_{i j_1}$$

Then, we must have

$$v_{i_1 j} \geq v_{ij} \geq v_{i j_1} \quad \text{for all } j = 1, 2, \dots, n; \text{ for all } i = 1, 2, \dots, m.$$

From this, we get

$$\min_j v_{i_1 j} \geq v_{i j_1} \geq \max_i v_{i j_1} \quad \text{for all } j = 1, 2, \dots, n; i = 1, 2, \dots, m.$$

Therefore,

$$\min_j [\max_i \{v_{ij}\}] \geq \max_i [\min_j \{v_{ij}\}].$$

Note: A game is said to be fair, if $v = 0 = v^-$ and it is said to be strictly determinable if

$$v = v^- = v^+.$$

Example 1.1: Consider a two-person zero-sum game matrix which represents payoff to the player A, see Table 1.4. Find the optimal strategy, if any.

Player B

	I	II	III	IV	V
I	-2	0	0	5	3
II	4	2	1	3	2
III	-4	-3	0	-2	6
IV	5	3	-4	2	-6

Table 1.4: Payoff matrix for Example 1.1

Solution: We use the maximin (minimax) principle to determine the optimal strategy. The player A wishes to obtain the largest possible v_{ij} by choosing one of his activities (I, II, III, IV), while the player B is determined to make A's gain the minimum possible by choice of activities from his list (I, II, III, IV, V). The player A is called the *maximizing player* and B, the *minimizing player*. If player A chooses the activity I then it could

		Player B						
		I	II	III	IV	V	Row minimum	
	I	-2	0	0	05	3	-2	
Player A	1 ←	II	4	2	01	3	2	Maximin
	III	-4	-3	0	-2	06	-4	
	IV	05	03	-4	2	-6	-6	
Column maximum		05	03	01	05	06		
		↑ Minimax						

Table 1.5: Player A's payoff matrix

happen that the player B also chooses his activity I. In this case, the player B can guarantee a gain of at least -2 to player A, i.e., $\min\{-2, 0, 5, 3\} = -2$. Similarly, for other choices of player A, i.e., activities II, III and IV, B can force the player A to gain only 1, -4 and -6, respectively, by proper choices from (II, III, IV) i.e., $\min\{4, 2, 1, 3, 2\} = 1$, $\min\{-4, -3, 0, -2, 6\} = -4$ and $\min\{5, 3, -4, 2, -6\} = -6$. For player A, minimum value in each row represents the least gain to him if he chooses his particular strategy. These are written in Table 1.5 by row minimum. Player A will select the strategy that maximizes his minimum gains, i.e., $\max\{-2, 1, -4, -6\} = 1$ i.e., player A chooses the strategy II. This choice of player A is called the maximin

principle, and the corresponding gain (here 1) is called the maximin value of the game. In general, the player A should try to maximize his least gains or to find $\max \min v_{ij} = v_i$

For player B, on the other hand, likes to minimize his losses. The maximum value in each column represents the maximum loss to him if he chooses his particular strategy. These are written in Table 1.5 by column maximum. Player B will then select the strategy that minimizes his maximum losses. This choice of player B is called the minimax principle, and the corresponding loss is the minimax value of the game. In this case, the value is also 1 and player B chooses the strategy III. In general, the player B should try to minimize his maximum loss or to find $\min \max v_{ij} = v_j$

If the maximin value equals the minimax value then the game is said to have a saddle point (here (II, III) cell) and the corresponding strategies are called optimum strategies. The amount at the saddle point is known as the value of the game.

Example 1.2: Solve the game whose payoff matrix is given below:

Player B

	I	II	III
I	-2	15	-2
II	-5	-6	-4
III	-5	20	-8

Player A

Table 1.6: A's payoff matrix

Solution: We use the maximin (minimax) principle to determine the optimal strategy.

The game has two saddle points at positions (1, 1) and (1, 3).

Player B

	I	II	III
I	-2	15	-2
II	-5	-6	-4
III	-5	20	-8

Player A

Column maximum

↑ Minimax ↑ Minimax

Row minimum
-2 ← Maximin
-8
 -2 20 -2

- (i) The best strategy for player A is I.
- (ii) The best strategy for player B is either I or III.
- (iii) The value of the game is -2 for player A and +2 for player B.

1.4 Mixed Strategy: Game without A Saddle Point

If *maximin value* is not equal to *minimax value* then the game is said to have no saddle point. In such a case, both the players must determine an optimal mixture of strategies to find an equilibrium point. The optimal strategy mixture for each player may be determined by assigning to each strategy its probability of being chosen. The strategies so determined are called mixed strategies.

The value of game obtained by the use of mixed strategies represents the least payoff which player A can expect to win and the least payoff which player B can expect to lose. The expected payoff to a player in a game with payoff matrix $[v_{ij}]_{m \times n}$ can be defined as $E(p, q) = \sum_{i=1}^m p_i v_{ij} q_j = p v q^T$

$$i=1 \quad j=1$$

where $p = (p_1, p_2, \dots, p_m)$ and $q = (q_1, q_2, \dots, q_n)$ denote probabilities or relative frequency with which a strategy is chosen from the list of strategies associated with m strategies of player A and n strategies of player B, respectively. Obviously, $p_i \geq 0$ ($i = 1, 2, \dots, m$), $q_j \geq 0$ ($j = 1, 2, \dots, n$) and $p_1 + p_2 + \dots + p_m = 1$; $q_1 + q_2 + \dots + q_n = 1$.

Theorem 1.2: For any 2×2 two-person zero-sum game without any saddle point having

$$B1 \quad B2$$

$$A2 \quad v_{21} \quad v_{22}$$

the payoff matrix for player A given by $A = [v_{ij}]_{m \times n}$, the optimal mixed strategies p^* and q^* are given by

$S_A = \begin{pmatrix} p_1 \\ p_2 \end{pmatrix}$ and $S_B = \begin{pmatrix} q_1 \\ q_2 \end{pmatrix}$ are determined by $p_1 + p_2 = 1$ and $q_1 + q_2 = 1$. The value v of the game to A is given by $v = \frac{v_{11}p_1 + v_{12}p_2 + v_{21}q_1 + v_{22}q_2}{p_1 + p_2 + q_1 + q_2}$ where

$$A_1 \quad A_2$$

$\begin{pmatrix} v_{11} & v_{12} \\ v_{21} & v_{22} \end{pmatrix}$

Proof: Let a mixed strategy for player A be given by $S_A = \begin{pmatrix} p_1 \\ p_2 \end{pmatrix}$, where $p_1 + p_2 = 1$. Thus, if player B moves

B_1 then the net expected gain of A will be $E_1(p) = v_{11}p_1 + v_{21}p_2$

$$p_1 \quad p_2$$

and if B moves B_2 , the net expected gain of A will be $E_2(p) = v_{12}p_1 + v_{22}p_2$.

B

Similarly, if B plays his mixed strategy $S_B = \begin{pmatrix} q_1 \\ q_2 \end{pmatrix}$, where $q_1 + q_2 = 1$, then B 's

$\begin{pmatrix} v_{11} & v_{12} \\ v_{21} & v_{22} \end{pmatrix}$

$$q_1 \quad q_2$$

net expected loss will be $E_1(q) = v_{11}q_1 + v_{12}q_2$ if A plays A_1 , and $E_2(q) = v_{21}q_1 + v_{22}q_2$ if A plays A_2 . The expected gain of player A , when B chooses his moves with probabilities q_1 and q_2 , is given by $E(p, q) = q_1[v_{11}p_1 + v_{21}p_2] + q_2[v_{12}p_1 + v_{22}p_2]$. Player A would always try to mix his moves with such probabilities so as to maximize his expected gain.

$$\text{Now, } E(p, q) = q_1[v_{11}p_1 + v_{21}(1-p_1)] + (1-q_1)[v_{12}p_1 + v_{22}(1-p_1)]$$

$$= [v_{11} + v_{22} - (v_{12} + v_{21})]p_1q_1 + (v_{12} - v_{22})p_1 + (v_{21} - v_{22})q_1 + v_{22}$$

$$= \left(\frac{\lambda p_1 - v_{22} - v_{21}}{\lambda} \right) (q_1 - v_{22} - v_{12}) + \frac{v_{11}v_{22} - v_{12}v_{21}}{\lambda} \quad \lambda$$

$$\lambda$$

where $\lambda = v_{11} + v_{22} - (v_{12} + v_{21})$.

We see that if A chooses $p_1 = \frac{v_{22} - v_{21}}{v_{11} - v_{12}}$, he ensures an expected gain of at least $(v_{11}v_{22} - v_{12}v_{21})/\lambda$.

Similarly, if B chooses $q_1 = \frac{v_{22} - v_{12}}{v_{11} - v_{21}}$, then he can limit his expected loss to at most $(v_{11}v_{22} - v_{12}v_{21})/\lambda$. These

choices of p_1 and q_1 will thus be optimal to the two players. Thus, we get

$$p_1 = \frac{v_{22} - v_{21}}{v_{11} - v_{12}} \quad \text{and} \quad p_2 = 1 - p_1 = \frac{v_{11} - v_{12}}{v_{11} - v_{12}}$$

$$q_1 = \frac{v_{22} - v_{12}}{v_{11} - v_{21}} \quad \text{and} \quad q_2 = 1 - q_1 = \frac{v_{11} - v_{21}}{v_{11} - v_{21}}$$

Hence, we have

$$\frac{p_1}{p_2} = \frac{v_{22} - v_{21}}{v_{11} - v_{12}}, \quad \frac{q_1}{q_2} = \frac{v_{22} - v_{12}}{v_{11} - v_{21}}; \text{ and } v = \frac{v_{11}v_{22} - v_{21}v_{12}}{v_{11} + v_{22} - (v_{12} + v_{21})}. \quad (1.1)$$

Note: The above formula for p_1, p_2, q_1, q_2 and v are valid only for 2×2 games without saddle point.

Example 1.3: Suppose that in a game of matching coins with two players, one player wins Rs. 2 when there are 2 heads, and gets nothing when there are 2 tails and loses Re 1 when there are one head and one tail. Determine the best strategies for each player and the value of the game.

Solution: The payoff matrix for player A is given in Table 1.7. The game has no saddle point. Let the player A plays H with probability x and T with probability $1-x$. Then, if the player B plays H , then A 's expected gain is

$$E(A, H) = x(2) + (1-x)(-1) = 3x - 1.$$

If the player B plays T , A 's expected gain is

$$E(A, T) = x(-1) + (1-x).0 = -x.$$

Player B

Player A		H	T
	H	2	-1
	T	-1	0

Table 1.7: Player A's payoff matrix

If the player A chooses x such that $E(A, H) = E(A, T) = E(A)$ say, then this will determine best strategy for him. Thus we have $3x - 1 = -x$ or $x = 1/4$. Therefore, the best strategy for the player A is to play H and T with probability $1/4$ and $3/4$, respectively. Therefore, the expected gain for player A is

$$E(A) = \frac{1}{4}(2) + \frac{3}{4}(-1) = -\frac{1}{4}.$$

The same procedure can be applied for player B . If the probability of B 's choice of H

is y and that of T is $1-y$ then for the best strategy of the player B ,

$$E(B, H) = E(B, T)$$

which gives $y = 1/4$. Therefore, $1-y = 3/4$.

Thus A 's optimal strategy is $(1/4, 3/4)$ and B 's optimal strategy is $(1/4, 3/4)$. The expected value of the game is $-1/4$ to the player A .

This result can also be obtained directly by using the formulae (1.1).

Chapter 5: Conclusion and Future Scope

5.1 Conclusion

The optimization of service systems has become increasingly important due to the growing demand for efficient and high-quality services in sectors such as healthcare, banking, transportation, telecommunications, manufacturing, and cloud computing. Long waiting times, congestion, inefficient resource utilization, and high operational costs are common challenges faced by these service systems. This research project examined how the combined application of **Queuing Theory** and **Game Theory** can effectively address these challenges.

Queuing Theory provides a mathematical framework for analyzing waiting-line systems by evaluating important performance measures such as average waiting time, queue length, server utilization, and system efficiency. Models such as M/M/1 and M/M/c help service providers understand customer flow and determine the optimal number of servers required to reduce congestion and improve service quality.

While Queuing Theory focuses on the operational behavior of service systems, it assumes that customers and service providers follow predefined rules. In real-world situations, however, customers and service providers often make strategic decisions based on their own interests. Game Theory complements Queuing Theory by modeling these strategic interactions and identifying optimal decision-making strategies through concepts such as Nash Equilibrium, cooperative games, and non-cooperative games.

The integration of Queuing Theory and Game Theory provides a more comprehensive approach to service system optimization. It enables organizations to allocate resources efficiently, design effective pricing strategies, improve scheduling policies, and reduce customer waiting times while considering the behavior of all participants. The combined approach not only improves operational efficiency but also enhances customer satisfaction and reduces overall service costs.

Based on the literature reviewed and the mathematical concepts discussed in this study, it can be concluded that integrating Queuing Theory with Game Theory offers a powerful analytical framework for solving complex service system problems. The approach is flexible, practical, and applicable across a wide range of industries. As service systems continue to become more complex, mathematical optimization techniques will remain essential for improving performance and supporting effective managerial decision-making.

5.2 Future Scope

The integration of Queuing Theory and Game Theory continues to offer significant opportunities for future research and practical applications. As technology advances and service systems become increasingly dynamic, more sophisticated optimization models can be developed to address emerging challenges.

Future research may focus on the application of artificial intelligence, machine learning, and data analytics to predict customer arrival patterns and optimize service decisions in real time. Intelligent service systems can use historical and live data to dynamically adjust staffing levels, scheduling, and resource allocation.

Another promising direction is the development of optimization models for smart cities, autonomous transportation systems, cloud computing platforms, and Internet of Things (IoT)-based services. These systems involve multiple users and service providers interacting simultaneously, making the combination of Queuing Theory and Game Theory highly relevant.

Future studies can also incorporate uncertainty using fuzzy logic, stochastic optimization, and robust optimization techniques to model real-world situations where customer behavior and service rates are unpredictable. Multi-objective optimization methods can be explored to balance customer satisfaction, operational cost, energy consumption, and service quality simultaneously.

In healthcare, future research can develop intelligent patient scheduling systems that reduce waiting times while ensuring the efficient use of medical resources. Similarly, banking and telecommunications can benefit from adaptive queue management systems that respond automatically to changing customer demand.

Finally, future researchers may validate theoretical models using real-world datasets and simulation software such as MATLAB, Python, Arena, or Simul8. Such studies would provide stronger practical evidence of the effectiveness of integrated Queuing Theory and Game Theory models and support their implementation in modern service industries.

In conclusion, the combination of Queuing Theory and Game Theory represents a promising and evolving research area with substantial potential for improving the efficiency, reliability, and sustainability of service systems. Continued advancements in mathematical modeling and computational techniques will further expand its applications and contribute to the development of smarter and more efficient service operations.

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